

would have needed to pay \$4,230 to meet the shortfall.² In addition, spending on pensions was crowding out other services. In 2002, 3 cents of each taxpayer dollar went to support pensions. This rose to 9 cents in 2009 and was projected to reach 20 cents in 2018.³ State employee contributions, however, had remained flat at 8.75%, and teachers' contributions had also not changed from 9.5%.

An editorial in the *Providence Journal* summarized Rhode Island's problem:⁴

Unless this unsustainable system is reformed, the state confronts a bleak future of brutally high taxes; deep cuts in government services and in assistance to our most needy and fragile citizens; the threatened loss of retirement security for our public employees; and the severe economic distress that will surely accompany these developments.

Rhode Island was not alone. Robert Novy-Marx and Joshua Rauh, finance professors at Rochester and Stanford, respectively, have shined a spotlight on the underfunding of our public pension plans. They estimate that by 2009, states had accrued \$5.7 trillion of liabilities to their workers while assets in these plans totaled less than \$2 trillion—a hole of \$3.7 trillion. By way of context, consider that the outstanding publicly traded debt issued by states is about \$1 trillion.⁵

Gina Raimondo, who took office as Rhode Island's treasurer in 2010, believed that fixing the state's pension system was essential to putting the state on a sound financial footing. Raimondo commissioned a report, *Truth in Numbers: The Security and Sustainability of Rhode Island's Retirement System*, which was released in June 2011. The report showed that the large pension deficits were due to five factors:⁶

1. Insufficient contributions;
2. Raising benefits from the 1960s through the 1980s without corresponding increases in contributions;

²Reported by Barkley, R., "The State of State Pension Plans: A Deep Dive into Shortfalls and Surpluses," Morningstar, Nov. 26, 2012.

³Raimondo, G., *Truth in Numbers: The Security and Sustainability of Rhode Island's Retirement System*, Rhode Island Office of the General Treasurer, June 2011.

⁴Editorial, "Stand Up for Rhode Island," *Providence Journal*, Nov. 17, 2011.

⁵See Novy-Marx and Rauh (2009, 2011a, 2011b) and Mitchell (2012).

⁶Glaeser and Ponzetto (2013) argue that public pension promises are high partly because they are "shrouded," meaning that they are hard for the taxpayer to understand. The study is worth reading if only for the detailed history of California, Pennsylvania, Massachusetts, and Ohio pensions. Public pensions are decentralized in the first two states and centralized in the latter two. Centralization appears to have reduced pension benefits by drawing state-level media attention to help taxpayers understand pension costs. Glaeser and Ponzetto also include a useful table describing the public pension plans in all fifty states.